

# 1 IAS 38, *Intangible Assets*



## Section overview

IAS 38 applies to almost all intangible assets, the **key exception being goodwill** acquired in a business combination.

The objective of IAS 38 is to prescribe the accounting treatment of intangible assets not covered by other IFRS Standards, in terms of:

- **recognition** if certain criteria are met
- **measurement** – can cost or value be measured reliably?
- **disclosures**

## 1.1 Intangible assets

The concept of intangible assets was introduced in *Accounting*. Your Professional Level studies look at the application of the accounting standard. One of the **principal distinctions between** property, plant and equipment (PPE) and intangible assets is that while the former have **physical substance**, the latter do not.

The following are some examples of **categories of expenditure** that **might** be **capitalised** as an intangible asset:

- marketing-related intangible assets, such as **trademarks**
- customer-related intangible assets, such as **customer lists**
- artistic-related intangible assets, such as **motion picture films, publishing titles**
- contract-based intangible assets, such as **operating licenses, franchise agreements, import quotas**
- technology-based intangible assets, such as **computer software, packaging and manufacturing technology**

The key issue affecting the treatment of this type of **expenditure** is whether it should be **recognised as an asset** and if so, how it should be **measured**. IAS 38, *Intangible Assets* provides guidance in this area.

Increasingly, technology companies, such as Amazon, Microsoft and Uber have more value in their intangible assets (such as their brand, market position, knowledge capital, and people) than their tangible assets. Whilst the accounting standards allow for the recognition of some of these as intangible assets, this is subject to meeting strict criteria.

Accounting for intangible assets also requires the professional accountant to apply judgement, including what costs may be capitalised and the period over which they should be amortised. Given the often unique nature of many intangible assets, this is one of the areas that can generate much debate.

## 1.2 Scope

IAS 38 applies to **all intangible assets** with certain exceptions. Examples of **assets specifically excluded from IAS 38** include:

- **Goodwill acquired in a business combination**, which is accounted for under IFRS 3, *Business Combinations*
- **Financial assets** as defined in **IAS 32**, *Financial Instruments: Presentation*
- **Mineral extraction, related exploration and development expenditure** incurred

### 1.3 Definition of an intangible asset

IAS 38 defines an intangible asset as follows.



#### Definition

**Intangible asset:** An **identifiable** non-monetary asset without physical substance.

#### 1.3.1 Identifiable

An intangible asset must be '**identifiable**'. This is to distinguish intangible assets from goodwill, which can arise on the acquisition of a subsidiary (this is covered later in this chapter).



#### Definition

**Identifiable:** An intangible asset is identifiable if:

- it is **separable**; and/or
- it arises from **contractual or other legal rights**.

An asset is **separable** if it can be sold, transferred, exchanged, licensed or rented to another party on its own rather than as part of a business (see the earlier examples given in this chapter).

Most of these examples also arise from **contractual or other legal rights**. Clearly, patents, copyrights, motion picture films, fishing licences and import quotas arise from such rights. But this second condition is designed to cover items that are not separable but are nevertheless of value to the business. Examples may include:

- import quotas, which may not be separate from the business and may only be transferred upon the sale of the whole business; and
- where an entity controls both unique equipment to produce a unique product and the right to manufacture and distribute that product in a particular territory, the unique equipment is worthless without the distribution rights, and vice versa, so the distribution rights are not separable but still identifiable.

There are few problems in identifying intangibles which meet the identifiability criterion of being separable. To be separable, they should be capable of being disposed of on their own, with the remainder of the business being retained.

**Goodwill can only be disposed of as part of the sale of a business, so is not separable.** It is this lack of identifiability which prevents internally generated goodwill being recognised. It is not separable and does not arise from contractual or other legal rights. **Goodwill arising in a business combination** will be covered in more detail in the group accounting chapters of this Workbook.

#### 1.3.2 Control

An **intangible asset** must also satisfy the **basic definition of an asset**.

One of the characteristics of an asset (according to the definition in the *Conceptual Framework*) is that it is **controlled by the entity**. The entity must have the right to access the future economic benefits generated by the asset. A **legally enforceable right** is evidence of such control, but not always a **necessary** condition. The following should be noted:

- Control over technical knowledge or know-how only exists if it is protected by a **legal right**.
- The skills of employees, arising out of the benefits of training costs, are most unlikely to be recognised as an intangible asset, because an entity does not control the future actions of its staff.

- Similarly, an entity normally has insufficient control over market share and customer loyalty for those to meet the definition of an intangible asset. However, the exception to this would be where the entity has the ability to exchange a customer relationship, for example, where a customer list can be traded, or separate rights provided for its use by a third party. This provides reliable evidence that the entity has control over the future economic benefits flowing from that relationship, and therefore meets the definition of an intangible asset.

## 2 Initial recognition and measurement



### Section overview

- An intangible asset should be recognised if:
  - It is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
  - The cost of the asset can be measured reliably.
- Separately acquired intangible assets and those acquired as part of a business combination are normally considered to meet the recognition criteria under IAS 38.
- At recognition, the intangible asset should be measured at cost.
- An intangible asset acquired as part of a business combination should be recognised at fair value.

### 2.1 Initial recognition and measurement

An intangible asset should be recognised if, and only if:

- It is **probable** that the future economic benefits that are attributable to the asset will flow to the entity.
- The cost can be measured **reliably**.

An intangible asset should be measured initially at its **cost**.

**Note:** An item should only be recognised as an intangible asset if it is probable that **economic benefits** are expected to flow in the future from ownership of the asset. This criterion is stricter than that used in the definition of an asset in the *Conceptual Framework*, which states that an asset must have “the potential to produce economic benefits”. Economic benefits may result in increased revenue but may also result in the **reduction of costs** (cost savings).

### 2.2 Subsequent expenditure

Subsequent expenditure should **rarely be recognised** in the carrying amount of an intangible asset. This is because in most cases the expenditure is incurred to maintain the expected economic benefits within an existing intangible asset. It is often difficult to attribute subsequent expenditure directly to a particular intangible asset rather than to the business as a whole.

### 2.3 Separately acquired intangible assets

In most cases, separately acquired intangibles satisfy the IAS 38 recognition criteria.

Brands, mastheads, publishing titles, licences, computer software, copyrights, patents and airport landing slots are all examples of intangible assets that can be acquired externally and should be capitalised.

Cost for these purposes comprises:

- **purchase price** (including duties and non-refundable taxes)
- any directly attributable costs of preparing the asset for its intended use

**Directly attributable costs** include:

- costs of employees working directly to bring the asset to its working condition
- legal and professional fees
- costs of testing

The following **expenditure is excluded** from the cost of the intangible asset:

- costs of introducing a new product or service including costs of advertising and promotional activities;
- costs of conducting business in a new location or with a new class of customer (including staff training); and
- administration and other general overhead costs

(These expenses are also excluded from the cost of PPE.)

Capitalisation of costs should cease when the asset is ready for use, irrespective of whether it is put into use immediately or not.

### Context example: Cost of intangible asset

Data Ltd acquired new technology that will revolutionise its current manufacturing process. Costs incurred were as follows:

|                                                           | CU        |
|-----------------------------------------------------------|-----------|
| Original cost of new technology                           | 1,200,000 |
| Discount received                                         | 120,000   |
| Staff training incurred in operating the new process      | 60,000    |
| Testing of the new manufacturing process                  | 12,000    |
| Losses incurred while other parts of the plant stood idle | 24,000    |

The cost that should be capitalised as part of the intangible asset is:

|                         | CU               |
|-------------------------|------------------|
| Cost                    | 1,200,000        |
| Less discount received  | (120,000)        |
| Plus testing of process | 12,000           |
| Total                   | <u>1,092,000</u> |

The costs of staff training and initial operating losses should be recognised as expenses in the period in which they occur.

## 2.4 Intangible assets acquired as part of a business combination

When an entity purchases another business entity the consideration given will normally exceed the fair value of the individual assets acquired and liabilities assumed. This excess is normally referred to as **goodwill**.

However, as part of the business combination, the **acquiring company may gain control over the acquiree's intangible assets** such as patents, copyrights and brands, and these are recognised as separate assets in their own right.

Intangible assets **acquired as part of a business combination** are normally considered to **meet the recognition criteria** of IAS 38. The cost of an intangible asset acquired as part of a business combination **should be measured at its fair value** at the date it was acquired. Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Fair value may be observable from an active market or recent similar transactions. Other methods may also be used. If fair value cannot be ascertained reliably, then the asset has failed to meet the recognition criteria. In this situation no separate intangible asset would be recognised, resulting in an increase in the value of goodwill acquired in the business combination.

## 2.5 Recognition of an expense

Expenditure on intangible assets should be **recognised as an expense** unless:

- it is part of the cost of an asset which meets the recognition criteria; or
- it arises in a business combination but cannot be recognised as an asset. (This will form part of the goodwill arising at the acquisition date.)

Examples of expenditure which **should be treated as an expense** include:

- start-up costs
- training costs
- advertising and promotional costs
- business relocation and reorganisation costs



### Professional skills focus: Structuring problems and solutions

You should be able to take the information provided in a question and apply your knowledge of IAS 38 to decide which of the costs must be capitalised as intangible assets and which must be expensed to determine the initial cost of an intangible asset. It is imperative that you both understand and can apply this knowledge to a given scenario.

## 3 Internally generated assets



### Section overview

- **Internally generated goodwill should not be recognised.**
- Expenditure incurred in the **research phase** should be expensed as incurred.
- Expenditure incurred in the **development phase** should be recognised as an intangible asset provided certain criteria are met.
- IAS 38 prohibits the recognition of internally generated brands.
- If recognised, internally generated assets should be measured at cost.

### 3.1 Recognition of internally generated assets

**Internally generated goodwill** should **not be recognised** as an asset.

The key difficulties in deciding whether **other internally generated intangible assets** should be recognised are:

- fixing the time when an identifiable asset comes into **existence**; and
- measuring its costs **reliably**, as it may be difficult to distinguish the costs of generating it from those of maintaining or enhancing the day-to-day operations of the business.

So additional requirements and guidance apply.

The evolution of such assets is split into the **research phase** and the **development phase**. Note that these phases relate to **all intangible assets**, not just what would normally be regarded as 'research and development expenditure'.

Also note that when there is doubt regarding into which phase expenditure falls, it should be allocated to the research phase.

### 3.2 Research costs

**All expenditure that arises in the research phase should be recognised as an expense when it is incurred.** No costs should be recognised as an intangible asset. The rationale for this treatment is that at this stage there is insufficient certainty that the expenditure will generate future economic benefits.

Examples of research costs include:

- activities aimed at obtaining new knowledge
- the search for, evaluation and final selection of applications of research findings or other knowledge
- the search for alternatives for materials, devices, products, processes, systems or services
- the formulation, design, evaluation and final selection of possible alternatives for new or improved materials, devices, products, processes, systems or services

### 3.3 Development costs

**Development costs should be recognised as intangible assets** provided that the entity can demonstrate that **all** the following **strict criteria** are met:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits. Among other things, the entity should demonstrate the existence of a market for the output of the intangible asset or the intangible asset itself or, if it is to be used internally, the usefulness of the intangible asset;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- its ability to measure reliably the expenditure attributable to the intangible asset during its development.

If the above conditions are met development expenditure **must be capitalised**. In contrast with research costs, development costs are incurred at a later stage in a project, and the probability of success should be more apparent. Examples of development costs include the following:

- the design, construction and testing of pre-production or pre-use prototypes and models
- the design of tools, jigs, moulds and dies involving new technology
- the design, construction and operation of a pilot plant that is not of a scale economically feasible for commercial production
- the design, construction and testing of a chosen alternative for new or improved materials, devices, products, processes, systems or services

Where PPE is used for development activities, the depreciation charge on the PPE is included in the cost of the intangible asset recognised in accordance with IAS 38, *Intangible Assets*.



### Professional skills focus: Applying judgement

Whilst the criteria for the recognition of development costs are strict and not open to interpretation, significant judgement needs to be applied in determining the existence of a market in which to sell the asset or the benefits that will be derived from its internal use. Professional accountants are likely to require the advice of experts to determine whether the criteria are satisfied.



### Worked example: PPE and development costs

A pharmaceutical company began work on a new drug on 1 January 20X8 and purchased a centrifuge for that purpose at a cost of CU40,000. The centrifuge has an expected five-year useful life. Salaries paid to scientists working on the new drug have been CU100,000 pa.

On 1 January 20X9 the project met the IAS 38 criteria for recognition of development costs.

#### Requirement

What is the amount of the intangible asset that should be recognised at 31 December 20X9?

#### Solution

|                                             | CU             |
|---------------------------------------------|----------------|
| Salaries from 1 January 20X9                | 100,000        |
| Depreciation from 1 January 20X9 (40,000/5) | 8,000          |
|                                             | <u>108,000</u> |

The salaries of the scientists are directly attributable costs and can therefore be capitalised.

The centrifuge is a tangible asset and is therefore capitalised as PPE in accordance with IAS 16. The depreciation on the centrifuge forms part of the cost of the development of the new drug and is therefore capitalised as a development cost rather than being written off to profit or loss.

## 3.4 Other internally generated intangible assets

The **standard prohibits the recognition of internally generated brands, mastheads, publishing titles and customer lists** and similar items as intangible assets. The reason for this is that these costs cannot be identified separately from the cost of developing the business as a whole. They can be seen as being component parts of internally generated goodwill, the recognition of which is also prohibited.

## 3.5 Cost of an internally generated intangible asset

If an internally generated intangible asset is **recognised it should be measured at cost**. The costs allocated to an internally generated intangible asset should be only costs that can be **directly attributed** or allocated on a reasonable and consistent basis to creating, producing or preparing the asset for its intended use. Such costs include:

- materials and services consumed
- employment costs of those directly engaged in generating the asset
- legal and patent or licence registration fees

The principles underlying the costs that should or should not be included are similar to those for other non-current assets and inventory.

The cost of an internally generated intangible asset is the sum of the **expenditure incurred from the date when the intangible asset first meets the recognition criteria**. If, as often happens, considerable costs have already been recognised as expenses before management can demonstrate that the criteria have been met, **this earlier expenditure should not be retrospectively recognised** at a later date as part of the cost of an intangible asset.

### Interactive question 1: Treatment of expenditure

Douglas Ltd is developing augmented reality technology for use in children's toys. During 20X7, expenditure incurred was CU100,000, of which CU90,000 was incurred before 1 December 20X7 and CU10,000 was incurred between 1 December 20X7 and 31 December 20X7. Douglas Ltd can demonstrate that, at 1 December 20X7, the development met the criteria for recognition as an intangible asset.

#### Requirement

How should the expenditure be treated? See **Answer** at the end of this chapter.

### Interactive question 2: Acquired and internally generated intangible assets

One of your colleagues at Shazzle Ltd has come to ask for clarification regarding the treatment of intangible assets that are developed by the business internally (such as new software the company is currently developing) and the purchase of rights to distribute a competitor's software.

#### Requirement

Compare the recognition criteria for acquired and internally generated intangible assets. See **Answer** at the end of this chapter.

## 4 Subsequent measurement of intangible assets



### Section overview

- After initial recognition an entity can choose between two measurement models:
  - the cost model
  - the revaluation model
- In practice **few intangible assets are revalued**.
- An intangible asset with a finite useful life **should be amortised** over this period.
- An intangible asset with an **indefinite useful life** should not be amortised.

### 4.1 Cost model

The standard allows two methods of measuring intangible assets after they have been first recognised.



Applying the **cost model**, an intangible asset should be **carried at its cost**, less any accumulated amortisation and any accumulated impairment losses.

## 4.2 Revaluation model

The **revaluation model** requires an intangible asset to be carried at a revalued amount, which is its **fair value** at the date of revaluation, less any subsequent accumulated amortisation and any subsequent accumulated impairment losses.

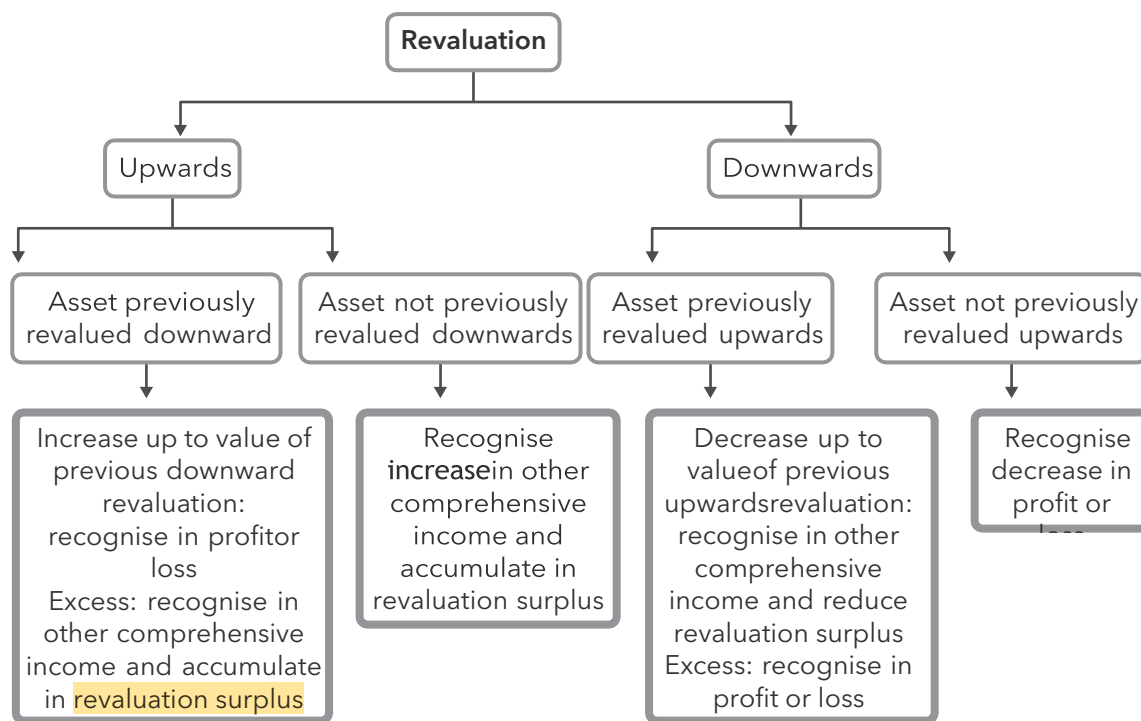
### Notes

- 1 The fair value should be determined in accordance with IFRS 13, *Fair Value Measurement*.
- 2 The fair value must be able to be measured reliably by reference to an **active market** in that type of asset.
- 3 The **entire class** of intangible assets of that type should be revalued at the same time (to prevent selective revaluations).
- 4 If an intangible asset in a class of revalued intangible assets cannot be revalued because there is **no active market** for this asset, that asset should be carried at its **cost less any accumulated amortisation and impairment losses**.
- 5 Revaluations should be made with such regularity that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period.
- 6 Where an intangible asset is revalued, subsequent amortisation is based on the revalued amount.

In practice there **will not usually be an active market** in an intangible asset; therefore, the revaluation model **will usually not be available**. For example, although copyrights, publishing rights and film rights can be sold, each has a unique sale value. In such cases, revaluation to fair value would be inappropriate. A fair value might be obtainable, however, for assets such as fishing rights or quotas or taxi licences, which are often traded.

## 4.3 Revaluation: accounting treatment

The treatment of revaluation gains and losses for intangible assets (other than goodwill) follows the same rules as for PPE (see Chapter 4). This can be summarised as follows:



### Worked example: Revaluation

Gove has a licence to operate bio-fuel buses in the North-East of England. It subsequently measures the licence under the revaluation model. The licence was revalued upwards by CU800,000 in 20X6, which was recognised in other comprehensive income and a revaluation surplus of CU800,000 was presented in the statement of financial position. Gove does not have a policy of transferring the revaluation surplus to retained earnings over the life of the asset. At the end of 20X7, the licence was revalued downward by CU1,000,000.

#### Requirement

Explain the accounting treatment for the downward revaluation.

#### Solution

In this example, the downward valuation should first be recognised in other comprehensive income and set against the revaluation surplus of CU800,000. The revaluation surplus is therefore reduced to zero. The excess of CU200,000 is recognised as an expense in the statement of profit or loss in 20X7.

## 4.4 Useful life

Under both measurement models an entity should **assess the useful life** of an intangible asset, which may be **finite or indefinite**. An intangible asset has an indefinite useful life when there is **no foreseeable limit** to the period over which the asset is expected to generate net cash inflows for the entity.

Many factors should be considered in determining the useful life of an intangible asset, including:

- expected usage
- typical product life cycle

- technical, technological, commercial or other types of obsolescence
- the stability of the industry
- expected actions by competitors
- the level of maintenance expenditure required
- legal or similar limits on the use of the asset, such as the expiry dates of related leases

Computer software and many other intangible assets normally have short lives because they are susceptible to technological obsolescence. However, uncertainty does not justify choosing a life that is unrealistically short.

The useful life of an intangible asset that arises from contractual or other legal rights should not exceed the period of the rights, but may be shorter depending on the period over which the entity expects to use the asset.

## 4.5 Amortisation period and amortisation method

An intangible asset with a finite useful life should be amortised over its expected useful life.

- Amortisation should start when the asset is available for use.
- Amortisation should cease at the earlier of the date that the asset is classified as held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* and the date that the asset is derecognised.
- The amortisation method used should reflect the pattern in which the asset's future economic benefits are consumed. If such a pattern cannot be predicted reliably, the straight-line method should be used.
- The amortisation charge for each period should normally be recognised in profit or loss.

The residual value of an intangible asset with a finite useful life should be assumed to be zero unless a third party is committed to buying the intangible asset at the end of its useful life or unless there is an active market for that type of asset (so that its expected residual value can be measured) and it is probable that there will be a market for the asset at the end of its useful life.

The amortisation period and the amortisation method used for an intangible asset with a finite useful life should be reviewed at each financial year end.

## 4.6 Intangible assets with indefinite useful lives

An intangible asset with an indefinite useful life should not be amortised. Instead, the asset should be reviewed annually to assess whether there has been a fall in its value in accordance with IAS 36, *Impairment of Assets*.

# 5 Disposals



## Section overview

On disposal of an intangible asset, any gain or loss should be recognised in profit or loss.

## 5.1 Accounting treatment

An intangible asset should be derecognised from the statement of financial position when it is disposed of or when there is no further economic benefit expected from its future use or disposal. On disposal the gain or loss arising from the difference between the net disposal proceeds and the carrying amount of the asset should be recognised in profit or loss as a gain

or loss on disposal, unless IFRS 16, *Leases* requires otherwise on a sale and leaseback arrangement.

### Worked example: Disposal

Marketpro Ltd has been trading for 10 years and has developed specialist software aimed for use by market research businesses. The software met the criteria for recognition and the directors initially recognised the software at its cost of CU120,000. The software had a carrying amount of CU80,000 when the company moved into a different line of business and sold it to a competitor for CU200,000.

#### Requirement

How will the sale be recorded in the financial statements?

#### Solution

The software was an internally-generated intangible asset, which met the recognition criteria and was therefore capitalised at its cost of CU120,000 and amortised to a carrying amount of CU80,000. The sale proceeds of CU200,000 therefore give rise to a gain on disposal of CU120,000 which is recognised in profit or loss in the period it is earned.

## 6 Disclosure



### Section overview

IAS 38 requires detailed disclosures:

- For each class of intangible asset.
- For intangibles accounted for at revalued amounts.

### 6.1 Disclosure requirements

The financial statements should **disclose the accounting policies for intangible assets** that have been adopted.

For **each class of intangible assets**, disclosure is required of the following, distinguishing between internally generated intangible assets and purchased intangible assets:

- the method of amortisation used for assets with finite lives;
- whether assets have a finite or indefinite life and the useful life of the assets or the amortisation rates used for finite life assets;
- the gross carrying amount, and any accumulated amortisation (aggregated with accumulated impairment losses) at the beginning and the end of the period;
- the line item(s) of the statement of profit or loss in which any amortisation of intangible assets is included; and
- a reconciliation of the carrying amount as at the beginning and at the end of the period (additions, retirements/disposals, revaluations, impairment losses, amortisation charge for the period).

The financial statements should also disclose the following:

- In the case of intangible assets that are assessed as having an indefinite useful life, the carrying amounts and the reasons supporting the assessment of an indefinite useful life.

- A description, the carrying amount, nature and remaining amortisation period of any individual intangible asset **that is material to the financial statements of the entity as a whole.**
- The existence (if any) and carrying amounts of intangible assets whose **title is restricted** and of intangible assets that have been **pledged as security** for liabilities.
- The amount of any contractual **commitments for the future acquisition of intangible assets.**

Where intangible assets are accounted for under the revaluation model, disclosure is required of the following by class of intangible assets:

- *the effective date of the revaluation*
- the **carrying amount** of revalued intangible assets
- the carrying amount that would have been recognised **if the cost model had been used**, and the amount of amortisation that would have been charged

Also:

- the amount of any **revaluation surplus** on intangible assets, as at the beginning and end of the period, and movements in the surplus during the year (and any restrictions on the distribution of the balance to shareholders);
- the methods and significant assumptions applied in estimating the assets' fair values; and
- the amount of research and development expenditure that has been recognised as an expense in the period should be disclosed.

**Note:** The disclosure note for intangible assets is largely consistent with that for PPE, which is illustrated in Chapter 4. The information relating to the cost, accumulated amortisation and carrying amount of each class of asset is presented in a tabular format, reconciling the opening to closing position. Additional information relating to, for example, the amortisation method, any assets which have an indefinite useful life and assets which have been revalued is then detailed in notes immediately under the table.



### Professional skills focus: Concluding, recommending and communicating

There may be a requirement to draft a disclosure note in respect of intangible assets in your exam. You may also be asked to correctly resolve an accounting issue, such as assessing the costs from an internal project and explaining the required accounting treatment to a non-financial colleague in the form of a recommendation.



### Interactive question 3: Intangible assets

In preparing its accounts for the year ended 30 June 20X7 NS plc has to deal with a number of matters.

- (1) An advertising campaign has just been completed at a cost of CU1.5 million. The directors authorised this campaign on the basis of the evidence from NS plc's advertising agency that it would create CU4 million of additional profits over the next two years.
- (2) A staff training programme has been carried out at a cost of CU250,000, the training consultants having demonstrated to the directors that the additional profits to the business over the next 12 months will be CU400,000.
- (3) A new product has been developed during the year. The expenditure totals CU1.2 million, of which CU750,000 was incurred before 31 December 20X6, the date on which it became clear the product was technically feasible. The new product will be launched in the next three months and its recoverable amount is estimated at CU600,000.

*Requirement*

Explain the required accounting treatment of these matters in NS plc's statement of financial position at 30 June 20X7.

See **Answer** at the end of this chapter.

## 7 Goodwill



### Section overview

- Internally generated goodwill should not be recognised.
- Acquired goodwill should be recognised.
- Acquired goodwill should not be amortised but is tested for impairment at least annually.

### 7.1 What is goodwill?

Goodwill can be thought of as being the excess of the value of a business over the sum of the fairvalue of its identifiable net assets. It can be created in many different ways, such as:

- by good relationships between a business and its customers
- by building up a reputation (by word of mouth perhaps) for high quality products or high standards of service
- by responding promptly and helpfully to queries and complaints from customers
- through the personality of the staff and their attitudes to customers

The value of goodwill to a business might be **extremely significant**. However, goodwill is not usually recognised in the accounts of a business at all, and we should not normally expect to find an amount for goodwill in its statement of financial position.

On reflection, we might agree with this omission of goodwill from the accounts of a business.

- The goodwill is **inherent** in the business, but it has not been paid for and it does not have an 'objective' value. We can guess at what such goodwill is worth, but such guesswork would be a matter of individual opinion, and not based on hard facts.
- Goodwill **changes** from day to day. One act of bad customer relations might damage goodwill and one act of good relations might improve it. Staff with a favourable personality might retire or leave to find another job, to be replaced by staff who need time to find their feet in the job, etc. Since goodwill is continually changing in value, it cannot realistically be recorded in the accounts of the business.

The result of this is that **internally generated goodwill should not be recognised as an asset**.

### 7.2 Purchased goodwill

There is one exception to the general rule that goodwill has no objective valuation. This is **when a business is acquired**. Entities wishing to set up in business have a choice of how to do it: they can either set up their business from scratch, or they can buy up an existing business from a proprietor willing to sell it. When a buyer purchases an existing business, it may pay more than the net carrying amount of the business's assets less its liabilities, and therefore also acquires the goodwill of the business.

Purchased goodwill is shown in the acquirer's statement of financial position because it has been paid for. It has no tangible substance, and so it is an **intangible non-current asset**.

**Note:** At this stage we are referring to goodwill arising on the acquisition of an **unincorporated business**. Goodwill arising on the acquisition of companies is reported in consolidated financial statements and will be explained when we deal with group accounting in Chapter 10 onwards. In both situations IFRS 3, *Business Combinations* applies.

### Context example: Purchased goodwill

At 31 December 20X7, Andrew has net assets in his statement of financial position amounting to CU150,000. At that date, he believed the goodwill in his business to be worth CU20,000. Andrew cannot recognise the CU20,000 of goodwill as it is internally generated.

On 1 January 20X8, Brian purchased Andrew's business for CU170,000 which reflects the amount of the net assets and the goodwill. Brian has purchased the goodwill in Andrew's business and can recognise the goodwill as an intangible asset.

**Note:** This is a simple example to illustrate the difference between internally generated and purchased goodwill. The requirements of the IFRS 3 which apply to business combinations will be covered in detail in Chapter 10.

## 7.3 Ethical and judgement issues

The ICAB *Code of Ethics* requires professional accountants to demonstrate objectivity as one of their fundamental ethical principles. Being objective requires the accountant to not compromise their professional or business judgements due to bias or the undue influence of others.

There may be pressures on a professional accountant to incorrectly capitalise development costs which may not meet all the criteria under IAS 38 in order to maximise profits or increase the carrying amount of assets on the statement of financial position.

Professional judgement is often required to assess which costs may be attributed to the valuation of intangible assets acquired as part of a business combination (especially where these assets have been internally generated). As such, errors, intentional or otherwise, may occur due to director shareholder pressures, time constraints due to a business acquisition deadline, or a lack of understanding or knowledge of what the accounting standards specify. Judgement is also required when assessing the useful life of intangible assets, something which is especially important where technologies and software are rapidly developing, and may, therefore, be subject to relatively short useful lives.

### Professional skills focus: Applying judgement

You may be asked to apply your ethical principles to a narrative question if management wish to take an aggressive approach to the capitalisation of costs incurred as part of research and development activities. Consider the ethical principles at stake, what the impact may be on the financial statements (this may be both financial as well as misleading potential or existing stakeholders) and what actions you should take in such circumstances.

### Interactive question 4: Stannington plc

Stannington plc is 'knowledge-led' and its management has initiated a strategy of investment in areas such as brands, advertising, media, technology, and employee training. The business

has few items of property, plant and equipment and the management are concerned that last year's statement of financial position did not reflect the value of these intangible assets. The following events have occurred during the year ended 31 December 20X3.

- (1) On 1 January 20X3 the company acquired a cable television franchise for CU10 million. The franchise allows Stannington plc the exclusive right to provide cable television to two million viewers in the Sheffield area for the next 10 years.  
A 10-year franchise covering a similar number of viewers in Liverpool was sold by a competitor to a third party on 31 December 20X3 for CU15 million. A franchise consultant has provided the management with an independent report that supports an equivalent market value for the Sheffield franchise. The company has measured the franchise rights in its statement of financial position at the valuation of CU15 million.
- (2) The company is developing software for use in streaming programmes via smart phone hardware. It is unique software, as it allows users to interact as well as watch those programmes provided by Stannington's broadcasting network. In previous years CU2 million incurred on the project had been recognised as an expense in profit or loss as research costs. On 1 July 20X3 the company was able to demonstrate that the process met the IAS 38 criteria for recognition as an intangible asset. At 31 December 20X3 the company has recognised the intangible asset at a cost of CU4.5 million, comprising the expenses included in the 'Research and development costs' table below.
- (3) On 1 January 20X3 Stannington plc acquired a publishing title for CU25 million. The title complemented the company's existing portfolio of four similar publishing titles. During 20X3 CU10 million of expenditure was incurred on marketing and promotional activities, which management hope has enhanced the value of the publishing portfolio, and CU2 million has been added to the carrying amount of the acquired publishing title.

The long-term strategic plans for the business show that Stannington plc will invest significantly in the future development of the titles. Management believe this will enhance the value of the titles and that the titles have an indefinite life.

#### Research and development costs

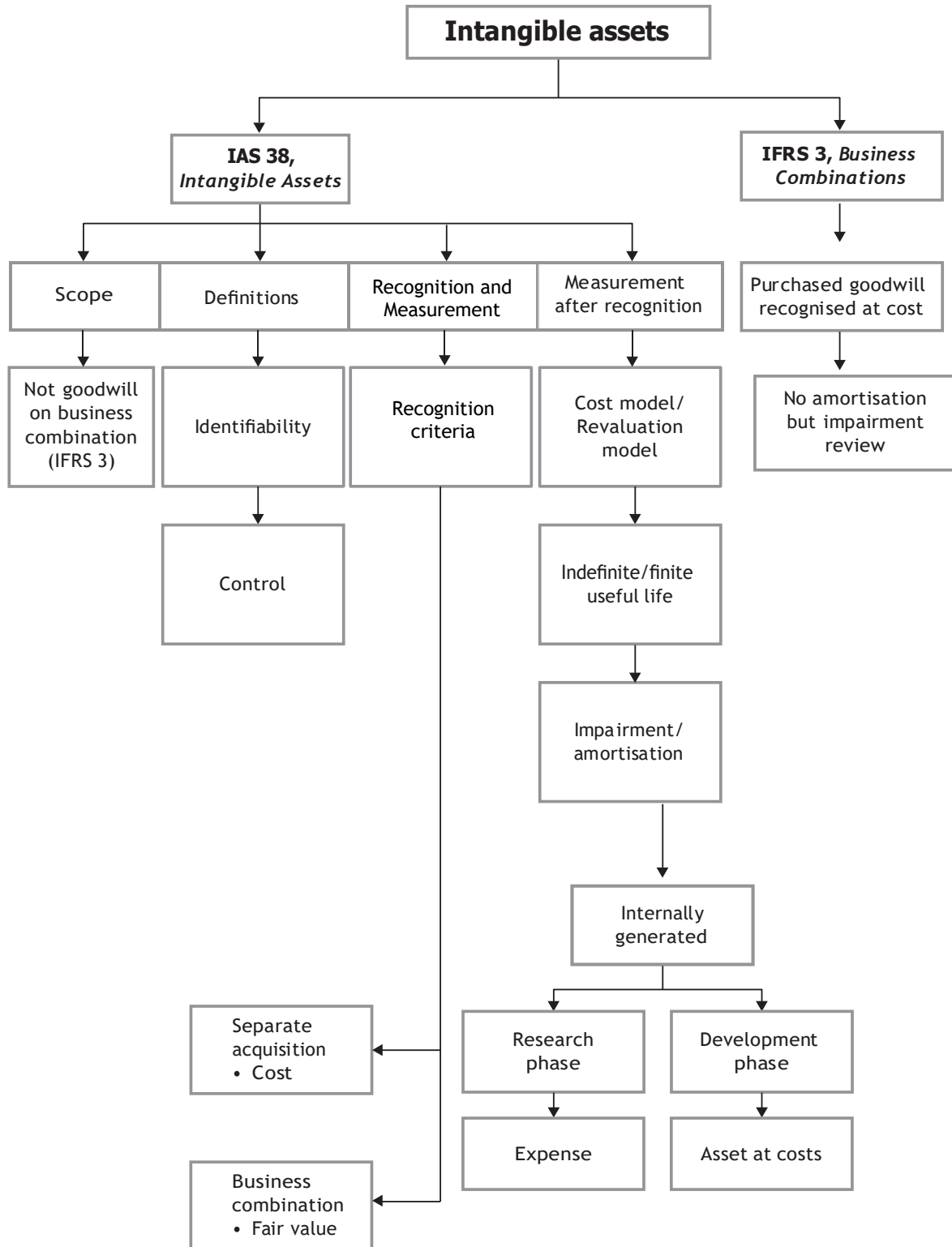
|                                                      | CU               |
|------------------------------------------------------|------------------|
| Research costs from prior years                      | 2,000,000        |
| Costs incurred in the six months to 30 June 20X3     | 1,000,000        |
| Costs incurred in the six months to 31 December 20X3 | 1,500,000        |
|                                                      | <u>4,500,000</u> |

#### Requirement

Explain the required accounting treatment of the above issues, preparing calculations where appropriate and setting out the presentation requirements.



# Summary



## Further question practice

### 1 Knowledge Diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

|    | Confirm your learning                                                                                                                        |
|----|----------------------------------------------------------------------------------------------------------------------------------------------|
| 1. | Can you explain, and apply, the criteria that an intangible asset must satisfy to be 'identifiable'? (Topic 1)                               |
| 2. | Can you apply the basic principles of initial measurement of an intangible asset? (Topic 3)                                                  |
| 3. | Do you understand the difference between research costs and development costs, and can you apply the correct accounting treatment? (Topic 4) |
| 4. | Are you able to apply the correct treatment regarding the amortisation of an intangible asset? (Topic 5)                                     |
| 5. | Do you understand when an intangible asset can be revalued and how to account for the revaluation? (Topic 6)                                 |

### 2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

| Question                         | Learning benefit from attempting this question                                                                                                                                                                    |
|----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Henna plc                        | This question tests your knowledge of the accounting treatment of a variety of different intangible assets.                                                                                                       |
| IAS 38, <i>Intangible Assets</i> | This question asks you to explain the accounting treatment of a number of different costs applying the principles of IAS 38.                                                                                      |
| Dronfield Ltd                    | Marks have been allocated to the different parts of this question to allow you to practice your time management skills. This question tests your knowledge and application skills in a number of given scenarios. |

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam-style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

| Question                                                      | Learning benefit from attempting this question                                                                                                                       |
|---------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Naples plc</a> (part 1 (issue 3) and part 4 only) | This question asks you to explain the correct accounting treatment for R&D expenditure, together with supporting journals in part 1, and part 3.                     |
| <a href="#">Pleione Ltd</a> (issue 3 only)                    | This question asks for an explanation of the accounting treatment of two brand names, one which was purchased and one which was internally developed by Pleione Ltd. |
| <a href="#">Sorbet Ltd</a> (part 2 only)                      | This question requires the preparation of a disclosure note for the intangible assets owned by Sorbet Ltd.                                                           |

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

# Technical reference

IAS 38 All examinable except paragraphs 42–47 and the illustrative examples.

IFRS 3 All examinable except the following: paragraphs 41 and 42. Appendix B1–B4, B13–B27 and the illustrative examples are also excluded.

The paragraphs listed below are the key references you should be familiar with.

## 1 Scope and definition

- Scope of IAS 38: excludes what other IFRS Standards cover eg, goodwill acquired in a business combination (IFRS 3) – **IAS 38 (2 and 3)**
- Intangible asset: an identifiable, non-monetary asset without physical substance.
- Identifiability the key: – **IAS 38 (8)**
  - Separable – could be sold separately from entity which owns it – **IAS 38 (12(a))**
  - Arises from contractual or other legal rights – **IAS 38 (12(b))**
- Control is an essential part of the definition of an asset. Many items excluded because not controlled by a business: – **IAS 38 (13)**
  - Staff (always)
  - Customers (very often)

## 2 Recognition and initial measurement

- Reliable measurement – the recognition criteria disallow: – **IAS 38 (21)**
  - Internally generated goodwill – **IAS 38 (48)**
  - Similar items such as internally generated brands, mastheads and customer lists – **IAS 38 (63)**
  - Advertising – **IAS 38 (69)**
- Initial measurement at cost – **IAS 38 (24)**
- Separate acquisition:
  - Always – future economic benefits are probable – **IAS 38 (25)**
  - Usually – cost reliably measurable – **IAS 38 (26)**
  - Cost includes licences, etc – **IAS 38 (27)**
- Part of business combination
  - Always – future economic benefits are probable – **IAS 38 (33)**
  - Almost always – cost reliably measurable – **IAS 38 (35)**
  - Cost = fair value – **IAS 38 (33)**
  - Includes acquiree's unrecognised intangibles, such as in-process research and development – **IAS 38 (34)**
- Internally generated: at cost, but:
  - Research expenditure (seeking new knowledge) written off as incurred (including subsequent expenditure on business combination research) – **IAS 38 (54 and 42)**

- Development expenditure (application of research findings) capitalised if it meets stringent conditions as to future economic benefit – **IAS 38 (57 and 42)**
- Development expenditure includes materials, staff costs and licences but not general overheads – **IAS 38 (66 and 67)**
- Only development expenditure incurred after recognition criteria met is to be capitalised. No subsequent capitalisation of earlier expenditure already recognised in profit or loss – **IAS 38 (65 and 71)**
- Subsequent expenditure almost always written off, because most expenditure relates to maintenance, not enhancement, and is non-separable from that on business as a whole – **IAS 38 (20)**

### **3 Measurement after recognition**

- Cost or revaluation models – **IAS 38 (72)**
  - Revaluation only if active market (homogeneous products, always trading, prices available to public) – **IAS 38 (75 and 78)**
- Useful life:
  - Indefinite – no amortisation, but annual impairment and useful life reviews – **IAS 38 (107-109)**
  - Finite – annual amortisation, with impairment review if indication of impairment. Residual value almost always nil – **IAS 38 (97, 100, 111)**

### **4 Disclosure**

- Disclosures specific to intangibles (otherwise follow IAS 16):
  - Whether useful lives are indefinite or finite (in which case amortisation rates must be disclosed) – **IAS 38 (118(a))**
  - For intangibles with indefinite useful lives, their carrying amount and the reasons supporting the indefinite life assessment – **IAS 38 (122(a))**
  - Individual assets material to financial statements as a whole – **IAS 38 (122(b))**
  - Amount of research and development expenditure recognised as an expense in the period – **IAS 38 (126)**

### **5 Goodwill**

- Goodwill: non-current asset at excess of consideration over net assets acquired – **IFRS 3 (32)**
- No amortisation but subject to annual impairment reviews – **IAS 36 (10)**

# Self-test questions

Answer the following questions.

## 1 Plex Ltd

During 20X7 Plex Ltd incurred the following expenditure on research and development activities, none of which related to the cost of tangible non-current assets.

- (1) CU20,000 on investigating methods of separating raw materials into chemicals A, B and C.
- (2) After the technical viability of converting chemical B into a new medicine for sensitive teeth had been proved, CU150,000 on the conversion process.

Commercial production and sales of the medicine commenced on 1 April 20X7 and are expected to produce steady profitable income during a 10-year period before being replaced. Adequate resources exist to achieve this. No commercial uses have been discovered for chemicals A and C.

### Requirement

What is the development expenditure that should be carried forward at 31 December 20X8 in accordance with IAS 38, *Intangible Assets*?

## 2 Henna plc

Henna plc was incorporated on 1 January 20X6. At 31 December 20X6 the following items had arisen.

- (1) Purchase of a high performance computer network for new software development where the company can test new software concepts CU80,000
- (2) Goodwill created as a result of an acquisition of a competitor company specialising in payroll services CU100,000
- (3) Goodwill assessed to the value of CU80,000 by management to reflect the customer base and the success of Henna plc in the Bangladeshi market
- (4) Patents purchased in respect of Zion software which is used within the Henna plc Small Expanding Business Software package, costing Henna plc CU70,000
- (5) Costs incurred by the company in developing the Henna brand name CU60,000

### Requirement

Before amortisation, what amount should be carried as intangible assets in the statement of financial position of Henna plc at 31 December 20X6 in accordance with IAS 38, *Intangible Assets*?

## 3 IAS 38, Intangible Assets

In accordance with IAS 38, *Intangible Assets* how should these types of expenditure be treated in the financial statements?

- (1) Tangible assets acquired in order to provide additional secure facilities for research and development activities
- (2) Legal costs in connection with the registration of a patent

- (3) Costs of searching for possible alternative products
- (4) Salaries of personnel solely engaged in finalising a new product

#### 4 Minbad plc

Minbad plc is a company operating in media and communications. It owns a number of newspapers and monthly magazine titles, which were acquired when the company acquired the assets of Newsmedia. The consideration totalled CU130 million, of which CU100 million was attributed to identifiable net assets (CU60 million specifically for the newspaper and magazine titles). The acquisition occurred on 1 January 20X7. The newspaper and magazine titles are assessed as having indefinite lives. Goodwill arising on the acquisition is estimated to have a useful life of 20 years. However, an impairment review at 31 December 20X7 showed that goodwill had fallen in value by CU1 million during 20X7.

The newspapers and magazines have all shown increasing circulation since the acquisition. Accordingly, in considering the financial statements to 31 December 20X7 the directors wish to revalue the titles to CU133 million, which represents the sum of amounts it is estimated could be realised if each title and its associated rights were sold separately in the market at 31 December 20X7. The directors estimate that this approximates closely to current cost.

On 1 January 20X7 the company decided to expand its printing capacity by investing in new high tech machinery costing CU20 million. This machinery had been developed by a French company and Minbad plc had to pay CU20 million to acquire the patent allowing it sole use of the technology for 10 years. In addition Minbad plc has also developed a range of greeting cards to be sold alongside, and advertised in, the monthly magazines. These cards will all be sold under a newly developed brand name which Minbad plc has developed at a cost of CU6 million in 20X7.

##### *Requirements*

- 4.1 Assuming that IAS 38, *Intangible Assets* and IFRS 3, *Business Combinations* are complied with, prepare the table of movements and accounting policy notes for intangible assets for inclusion in the financial statements of Minbad plc for the year ended 31 December 20X7.
- 4.2 Comment on your treatment of Minbad plc's intangible assets in 4.1 above in the light of the *Conceptual Framework*.

#### 5 Dronfield Ltd

IAS 38, *Intangible Assets* defines an intangible asset as an **identifiable** non-monetary asset without physical substance. An asset is a resource:

- controlled by an entity as a result of past events; and
- from which future economic benefits are expected to flow to the entity.

IAS 38 requires an entity to recognise an intangible asset in its financial statements if it meets the recognition criteria.

Dronfield Ltd is a large company which researches, develops and manufactures pharmaceutical products. The company has in the past prepared its financial statements using local GAAP and is considering changing to applying IFRS Standards. The company invests heavily in the following areas.

- (1) Research into alternative chemically active ingredients that may have therapeutic benefit. The research activities identify chemical compounds that have commercial application possibilities.

- (2) Development of chemical compounds by applying research findings to design new drug therapies. At the end of the development phase each new compound must be successful in a series of regulatory trials before production can commence.
- (3) The investment in marketing and brand development of new pharmaceutical products. This includes the significant launch costs of new drugs and the on-going brand development activities.
- (4) The acquisition, either directly or through business combinations, of pharmaceutical patents and brands at the fully licensed stage.

### *Requirements*

- 5.1 Discuss the IAS 38 definition of an intangible asset with specific reference to the following terms:
  - identifiable
  - control
  - future economic benefits
- 5.2 Explain and justify the required accounting treatment for each of the above four areas by considering the recognition criteria for internally developed and acquired intangible assets

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.



# Answers to Interactive questions

## Answer to Interactive question 1

At the end of 20X7, the development of the augmented reality technology should be recognised as an intangible asset at a cost of CU10,000. This is the expenditure incurred since the date when the recognition criteria were met, that is, 1 December 20X7. The CU90,000 expenditure incurred before 1 December 20X7 is expensed, because the recognition criteria were not met. It cannot retrospectively form part of the cost of the development costs recognised in the statement of financial position.

## Answer to Interactive question 2

### *Recognition criteria*

Initial or subsequent expenditure on an item should be recognised as an intangible asset if it will give rise to future economic benefits and if its cost or value can be measured reliably.

For acquired intangible assets the probability of expected future benefits is reflected in the price paid, so this condition is automatically met. This is the case whether the asset has been purchased separately or as part of a business combination. So the recognition criteria are fully met if the acquiring entity **can measure the cost of the intangible assets reliably**.

IAS 38 outlines the criteria that need to be met for an entity to recognise the costs associated with an internally generated asset (such as technical feasibility, and probable future economic benefits).

Costs should only be capitalised from the date that the recognition criteria are met. Costs written off before this point should never be subsequently capitalised. In practice this restricts the capitalisation of costs to the later stages of development, when the technical and economic viability of a project is virtually certain. For example, where companies require regulatory approval for developed products, no costs should be recognised as an asset until that approval is successful. This is usually the point at which development is complete.

IAS 38 does not allow the recognition of internally generated goodwill, brands, mastheads, publishing titles and so on, because the costs of individual assets cannot be separated from the development of the business as a whole and then measured reliably. However, such items should be recognised if acquired separately or as part of a business combination. An acquisitive company's statement of financial position would probably present more intangible assets than a company which has invested in their internal generation.

## Answer to Interactive question 3

The treatment in NS plc's statement of financial position at 30 June 20X7 should be as follows:

### *(1) Advertising campaign:*

No asset should be recognised, because it is not possible to identify future economic benefits that are attributable only to this campaign. The whole expenditure should be recognised in profit or loss.

### *(2) Staff training programme:*

No asset should be recognised, because staff are not under the control of NS plc and

when staff leave, the benefits of the training, whatever they may be, also leave. The whole expenditure should be recognised in profit or loss.

**(3) New product:**

The development expenditure appearing in the statement of financial position should be measured at CU450,000.

The expenditure before the date on which the product becomes technically feasible should be recognised in profit or loss. The remaining CU450,000 is less than the recoverable amount, so no impairment issues arise.

**Answer to Interactive question 4**

*Accounting treatment*

**(1) Cable television franchise**

The cable television franchise should be recognised at cost of CU10 million on 1 January 20X3 provided the management believe cost is reliably measurable. The processes involved in determining whether to acquire the asset should provide sufficient evidence.

The intangible asset should be amortised over its useful life. The rights cover a period of 10 years and so an amortisation expense of CU1 million pa should be recognised, such that the carrying amount becomes CU9 million at the end of the year.

Management have revalued the asset to CU15 million at the year end. The revaluation model is allowed by IAS 38 provided:

- all assets of the same class are revalued; and
- fair values can be determined by reference to an active market for the intangible asset.

An active market is one where the items traded in it are homogeneous, willing buyers and sellers can be readily found and prices are available to the public. It is unusual for such a market to exist for many intangible assets and it does not exist for television franchises. The franchises are not homogeneous – they are unique as they cover specific areas and demographics. Also, franchises are not offered at prices available to the public.

As no active market exists the franchise should not be revalued and the asset must be returned to its historical cost carrying amount.

**(2) New smartphone software**

All costs incurred before the production process met the IAS 38 criteria for recognition as an intangible asset should be written off as an expense. Such costs cannot be subsequently capitalised and therefore the CU2 million previously expensed as research and the costs incurred prior to 30 June 20X3 cannot be included in the initial cost of the intangible asset. The asset should be initially measured in the statement of financial position at cost of CU1.5 million, being the expenditure after 1 July 20X3.

The streaming software is unique and while an offer has been received from a competitor that provides evidence of fair value, it should continue to be recognised at cost, as the CU6 million value is not determined by reference to an active market.

However, as the asset is not ready for use, IAS 36 requires an impairment review (that is estimate of recoverable amount) to be made at least annually. The offer from the competitor provides evidence of the recoverable amount and that no impairment has been incurred.

**(3) Publishing title**

The publishing title should be recognised as an asset initially at a cost of CU25 million. The usual recognition criteria for intangible assets should be applied to any subsequent

expenditure – that is it is recognised in profit or loss unless it is probable that the expenditure will lead to future economic benefits and the expenditure can be reliably measured.

The CU2 million expenditure does not meet the recognition criteria, as no persuasive evidence is available that future economic benefits are probable. In addition, it is difficult to attribute the expenditure to that asset rather than to the publishing portfolio or business as a whole. It appears that the CU2 million is an apportionment of the total amount across the five titles. The CU2 million should be recognised in profit or loss and the asset carried at CU25 million.

The significant investment in the development of all the titles is powerful evidence that the acquired titles have indefinite lives. There should be no amortisation charges but annual impairment reviews are required, even if there is no indication of any impairment.

# Answers to Self-test questions

## 1 Plex Ltd

For the two R&D expenditures:

- (1) Relates to research so should be written off as an expense in 20X7.
- (2) Relates to development so should be capitalised once the recognition criteria (IAS 38 paragraph 57) are met.

|                                                              | CU              |
|--------------------------------------------------------------|-----------------|
| Capitalised as at 1 April 20X7                               | 150,000         |
| Amortised up to 31 December 20X8 ( $21/120 \times 150,000$ ) | <u>(26,250)</u> |
| C/f as at 31 December 20X8                                   | <u>123,750</u>  |

## 2 Henna plc

CU170,000

- (1) should be carried forward as property, plant and equipment under IAS 16.
- (2) and (4) should be carried forward as intangible assets under IAS 38.
- (3) and (5) should not be carried as intangible assets – per IAS 38 (paras. 48 and 63).

## 3 IAS 38, Intangible Assets

- (1) Capitalised under IAS 16.
- (2) and (4) Capitalised as part of the cost of an internally-generated intangible (IAS 38: paras. 66–67).
- (3) should be written off to profit or loss as research expenditure.

## 4 Minbad plc

4.1 Notes to the financial statements at 31 December 20X7 (extracts)

| Intangible assets       | Goodwill | Patents | Publishing titles | Total |
|-------------------------|----------|---------|-------------------|-------|
|                         | CUm      | CUm     | CUm               | CUm   |
| Cost                    |          |         |                   |       |
| At 1 January 20X7       | –        | –       | –                 | –     |
| Additions               | 30       | 20      | 60                | 110   |
| At 31 December 20X7     | 30       | 20      | 60                | 110   |
| Amortisation/impairment |          |         |                   |       |
| At 1 January 20X7       | –        | –       | –                 | –     |

|                           |    |    |    |     |
|---------------------------|----|----|----|-----|
| Charge for year (20 ÷ 10) | 1  | 2  | -  | 3   |
| At 31 December 20X7       | 1  | 2  | -  | 3   |
| Carrying amount           |    |    |    |     |
| At 1 January 20X7         | -  | -  | -  | -   |
| At 31 December 20X7       | 29 | 18 | 60 | 107 |

**Note:** Of the additions during the year totalling CU110 million the goodwill and publishing titles were acquired through a business combination. The patents were separately acquired.

#### *Accounting policy note*

Purchased intangible assets are recognised at the fair value of consideration paid and separately from goodwill.

Patents are amortised on a straight-line basis over the life of the legal agreement.

Publishing titles are considered to have an indefinite life and are not amortised but are subject to annual impairment reviews.

Goodwill is not amortised but is subject to annual impairment reviews.

#### **4.2 Conceptual Framework**

Under the *Conceptual Framework* an asset is an economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits. This criteria is slightly different to that in IAS 38 which is described below.

Here, Minbad plc has control over all the intangible assets as it has either legally purchased them (the goodwill, newspaper titles and patents) or developed them internally (the brand).

However, an additional requirement of IAS 38 is that items can only be recognised as intangible assets if:

- (1) there is a probable inflow of economic benefits; and
- (2) the cost/value can be measured reliably.

Acquired intangible assets meet this requirement, but, as IAS 38 clearly identifies, it is not possible to separate out reliably the cost of internally generated brands from the costs to develop the business as a whole.

Other sections of the *Conceptual Framework* highlight the importance of providing relevant information to users of financial statements. It could be argued that users would find the value of internally generated intangibles of great relevance when assessing/evaluating a business.

With regard to the proposed revaluation, although under IAS 38 either the cost or revaluation model can be used, intangible assets should only be revalued where there is an 'active market' for them. This must be a market where all items traded are homogeneous, which clearly cannot be true for assets such as magazine titles.

## 5 Dronfield Ltd

### 5.1 IAS 38 definitions

The definition of an intangible asset in IAS 38, *Intangible Assets* (para. 8) is largely consistent with the *Conceptual Framework* asset definition. The IAS 38 criteria is stricter as it requires that it is probable that economic benefits will flow to the entity whereas the *Conceptual Framework* only requires that an asset has the potential to produce economic benefits.

The key aspects of the definition are set out below.

**Identifiable** – an intangible asset should be identifiable so that it can be distinguished from goodwill. Concluding on whether a resource is identifiable is not straightforward.

IAS 38 states that an asset is identifiable when:

- it is separable, that is it is capable of being sold, transferred, rented or exchanged individually or with related items; or
- it arises from contractual or other legal rights, regardless of whether those rights are transferable or separable by the entity from other rights and obligations.

A separable asset is individual and the acquirer does not require other assets to be acquired with it. Examples could be quotas, franchises and licences.

An example of an asset arising from legal rights would be the legal right to operate some plant and equipment in circumstances where the assets cannot generate economic benefits without the transfer of the legal right to do so, and the legal right is of no benefit without the plant and equipment to which it relates.

**Control** – an entity can demonstrate control of an asset through:

- being able to obtain future economic benefits from it; and
- restricting the access of others to those benefits.

This control usually arises from the ability to enforce legal rights in a court of law, for example through the ownership of a patent. However, legal enforceability is not a necessary condition. For example, trade secrets confidentially known to a few people will give access to future benefits and restrict their use by others.

Human resources and market share are examples of intangible resources that fail to meet the control test in the definition of an asset, since they cannot be legally protected or controlled.

**Future economic benefits** may flow from an increase in revenues or a reduction in costs from the use of the asset. These benefits could arise from the product itself or from the use of the intellectual property as part of the production process.

### 5.2 Required accounting treatments

Dronfield Ltd invests in four key business areas. The intangible resources it develops or acquires would meet the definition of an intangible asset. The issue is whether they meet the recognition criteria and should be included in the statement of financial position.

IAS 38 requires an entity to recognise an intangible asset if future economic benefits are probable and the cost can be measured reliably.

#### (1) Research activities

Dronfield Ltd's own research activities are planned investigations that try to identify new scientific knowledge. They meet the IAS 38 definition of a research phase of activity.

IAS 38 does not allow the recognition of intangible assets arising from the research phase. An entity cannot demonstrate that it is probable that future economic benefits will be generated. Hence the costs incurred do not meet the recognition criteria and should be recognised as an expense in profit or loss.

## *(2) Development activities*

Dronfield Ltd's own development activities apply those research findings to design specific therapies that could be commercially beneficial. This is a development phase because it is further advanced than the research phase.

An intangible asset from the development phase should be recognised if, and only if, the entity can demonstrate that a number of stringent conditions have been met. In summary, the entity should be able to demonstrate the following.

- The technical feasibility of completing, and the intention to complete, the asset and the ability to use or sell it (this demonstrates completion of the process that will generate economic benefits).
- How the intangible asset will generate future economic benefits, either through the existence of an external market or its use internally, and the availability of resources to complete it (this demonstrates the generation of economic benefits required by the recognition criteria).
- The ability to measure the development expenditure reliably (recognition criteria requirement).

In practice the criteria severely restrict the ability of entities to recognise development phase costs as assets. Assets should only be recognised from the date that the recognition criteria are met and retrospective recognition of costs previously expensed is not allowed.

The existence of regulatory trials means that costs incurred before the successful outcome of these trials should not be recognised as an asset, because before the completion of these trials, technical feasibility cannot be demonstrated. Hence, it is extremely unlikely that any development phase costs should be recognised as an asset by Dronfield Ltd.

## *(3) Marketing and brand development costs*

IAS 38 states that internally generated brands and marketing costs should never be recognised as intangible assets.

The standard takes the view that costs of developing market positions and brands cannot be distinguished from the cost of developing the business as a whole. Hence the costs cannot be measured reliably and the recognition criteria cannot be met.

## *(4) Acquired intangible assets*

IAS 38 states that it is always probable that future economic benefits will arise from acquired intangible assets. The basis for this is that if there were no such future benefits, the acquirer would not have bothered to acquire them; the probability that they will arise is adjusted for in the price offered: the greater the probability, the higher the price, and vice versa.

IAS 38 also states that the cost of separately acquired intangibles can usually be measured reliably, particularly when the purchase consideration is in the form of cash or other monetary assets. The cost of intangibles acquired through a business combination should also be capable of reliable measurement, for example by reference to the way the acquirer built up the acquisition price. There is a rebuttable presumption of reliable measurement when such intangibles have finite useful lives.